

556



THE CHARTERED INSURANCE INSTITUTE

ADVANCED DIPLOMA

OCTOBER 2004 EXAMINATION PAPER

UNIT 556
LIFE AND DISABILITY CLAIMS

Three hours are allowed for this paper, which is in three parts.

READ THE INSTRUCTIONS OVERLEAF CAREFULLY BEFORE ANSWERING ANY QUESTIONS.

THE CHARTERED INSURANCE INSTITUTE

556 – Life and disability claims

CANDIDATE INSTRUCTIONS

READ THE INSTRUCTIONS BELOW BEFORE ANSWERING ANY QUESTIONS

Three hours are allowed for this paper.

You should answer **all** questions in Part I, the compulsory question in Part II and **three** out of the five questions in Part III.

The paper carries a total of 200 marks, as follows:

Part I	48 marks
Part II	50 marks
Part III	102 marks

You are advised to spend no more than 45 minutes on Part I. You are strongly advised to attempt **ALL** the required questions in order to gain maximum possible marks.

In attempting the questions, you may find it helpful in some places to make rough notes in the answer booklet. If you do this, you must cross through these notes before you hand in the booklet.

Answer each question on a new page. If a question has more than one part, leave several lines blank after each part.

It is important to show all steps in a calculation, even if you have used a calculator.

- Fill in the information requested on the answer booklet and on form B.
- You are allowed to write on the inside pages of this question paper but you must **NOT** write your name, candidate number, PIN or any other identification **ANYWHERE** on this question paper.
- The answer booklet and this question paper **MUST BE HANDED IN PERSONALLY BY YOU** to the invigilator before you leave the examination. **FAILURE TO COMPLY WITH THIS REGULATION MAY RESULT IN YOUR PAPER NOT BEING MARKED AND YOU MAY BE PREVENTED FROM ENTERING THIS EXAMINATION IN FUTURE.**

THE CHARTERED INSURANCE INSTITUTE

© The Examinations Department, CII, 20 Aldermanbury, London EC2V 7HY

PART I

**Answer ALL questions in Part I.
Each question is worth six marks.**

Note form is acceptable where this conveys all the necessary information.

1. Briefly explain which two Articles of the Human Rights Act are relevant to claims assessment and why.
2. What policy exclusions may prevent the payment of death benefits?
3. What key limitations were introduced by the Life Assurance Act 1774?
4. Explain the criteria set by the ABI Statement of Best Practice for Critical Illness in respect of a valid claim for burns.
5.
 - (a) Name the valves in the heart. (4 marks)
 - (b) Briefly explain their overall purpose. (2 marks)
6.
 - (a) What is depreciation? (3 marks)
 - (b) When assessing the financial aspects of an income protection claim, what action would you take if a figure were disclosed in the claimant's accounts in respect of depreciation? (3 marks)

7. Give brief details of the two main types of diabetes mellitus.
8. (a) What remedies are available to insurers when they discover non-disclosure of smoking status at the time of a claim? (2 marks)
- (b) What factors influence which remedy to apply? (4 marks)

FOR USE WITH QUESTION 9 ONLY

**Extract of GP report for Policy 2 – dated March 2000
(completed by Mr Beale's GP who holds his records from birth)**

Dates	Condition	Treatment	Time off work
Childhood	Multiple chest infections	Inhalers, antibiotics and rest	Some absence from school
March 1976	Bronchitis	Not known	1 month
1984 (4 consultations)	Respiratory infections	In-patient treatment on one occasion	Odd days – nil certified
1988	Back pain following injury at work	Pain killers and bed rest	2 weeks
October 1993	Chest infection	Antibiotics and advised to stop smoking	2 months
May 1994	Holiday vaccinations	Practice Nurse	N/A
December 1994	Chronic bronchitis	Referred to specialist (no reports available)	3 months
November 1995	Chest infection	Antibiotics, avoidance of exposure to cold weather, rest	2 months
March 1996	Chronic obstructive airways disease	Antibiotics. Admitted to hospital for investigations and stabilisation	1 month
December 1997	Persistent cough and breathlessness	Not noted	Nil
October 1999	Respiratory problems/emphysema	Antibiotics and inhalers	1 month
GP Summary:			
‘A well built muscular man, in fair health apart from respiratory problems that are having an increasing impact on his ability to work, especially in the winter months.’			

FOR USE WITH QUESTION 9 ONLY

Extract from claim form dated September 2004

Date of birth	5 August 1954
Address	24 Ringmer Avenue, Swindon
Date last worked	February 2004
Occupation	Bricklayer – 100% manual – no other work experience.
Employment status	Was employed by large building company – now retired on grounds of ill health.
Pre-incapacity income	£2,400 per month
Cause of claim	Chronic respiratory problems
Symptoms	Shortness of breath, fatigue, wheezy – worse when working outside or after exertion – often gets symptoms at rest.
Treatment	Rest and antibiotics – oxygen available at home when required.
Medical advisers	Under regular care of GP and respiratory physician – both have supported application for early retirement. Awaiting referral to cardiologist.
Other policies	ABC Life Insurance Company – income protection policy providing £500 per month (limitation of benefit clause allows insured to receive 50% of pre-incapacity income from all sources).
Income while incapacitated	£300 per month pension – payable since May 2004.

PART II

Compulsory question.
This question is worth 50 marks.

9. Steve Beale has submitted a claim to your office – XYZ Insurance Company. On checking your policy records you ascertain that he holds two policies with your company. Brief details are contained below:

Policy Details	Policy 1	Policy 2
Policy type	Income protection (ANY occupation)	Life and critical illness
Commencement date	January 1998	April 2000
Benefit level	£1,000 per month	£87,000
Evidence obtained at inception	Proposal form only No adverse disclosures	Proposal form and GP report (GPR)
Underwriting decision	Ordinary rates Occupation Class 3 Non-smoker	Life – additional premium charged for respiratory disease CI ordinary rates TPD excluded
Deferred period	13 weeks	Not applicable
Limitation of benefit	50% of pre-incapacity income from all sources less all continuing income, pensions and disability benefits	Not applicable

A copy of the extract from the GP report obtained at proposal for Policy 2 and an extract from Mr Beale's completed claim form appear on pages 6 and 7. Please read them before considering the questions below.

- (a) On the basis of the information provided to date, explain whether you consider Mr Beale potentially satisfies the benefit criteria of each policy on medical grounds (ignore all other factors relating to the claim). (15 marks)
- (b) Explain whether you consider that the claim under Policy 1 could be declined for non-disclosure. Illustrate your answer with references to relevant case law. (16 marks)
- (c) Describe the two most commonly used tests to measure lung function. (4 marks)
- (d) Assuming that it has been agreed to share any claim liability with ABC Life Insurance Company in proportion with the relative sums assured, calculate how much each insurer would pay should the income protection claim be admitted. Show your workings. (15 marks)

Part III questions can be found on pages 10 – 11

PART III

**Answer THREE of the following FIVE questions.
Each question is worth 34 marks.**

10. (a) Discuss the key components of the ABI critical illness kidney failure definition. How may acute kidney failure be distinguished from chronic failure? Give an example of both types. (10 marks)
- (b) Explain the two main forms of renal dialysis, explaining their nature and purpose. (10 marks)
- (c) Explain whether you would expect a policyholder who satisfies the critical illness definition for kidney failure to also fulfil a total and permanent disability (TPD) definition. (14 marks)
11. (a) In what circumstances would you decide to appoint a private investigator as part of the investigation of:
- (i) an income protection claim;
- (ii) a death claim? (20 marks)
- (b) What factors does the Health Claims Forum say should be taken into account when considering the appointment of a private investigation firm? (14 marks)
12. (a) What factors need to be taken into account when designing a rehabilitation programme to assist an income protection claimant back to work? What practical elements would need to be included in the programme? (28 marks)
- (b) What income protection terms and conditions would need to be taken into account in designing such a programme? (6 marks)

13. Discuss the definitions of incapacity that apply to income protection insurance, and the key considerations for the interpretation of each at claims stage.
14. You are notified of a claim under a life policy. The policyholder is reported missing from a merchant vessel in the Atlantic.
- (a) Explain your response to the estate, including the steps that need to be taken to progress the claim. (16 marks)
 - (b) What process is followed for leave to swear death? (18 marks)